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Venture capitalists know they're now operating in a new world

By [Kia Kokalitcheva](#) & [Jacob Robbins](#)

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Venture capital is having an identity reckoning in the age of AI, and deep self-reflection was on full display last week at the Web Summit conference in Vancouver.

"For about 10 years, any idiot with a checkbook in our job looked like a genius," Zach Coelius, founder and GP at [Coelius Capital](#), said during a panel. "It turns out that zero

interest rates really do have a pretty dramatic impact on the market, and now we're going through a process of working through that pain, but we're still hungover."

Some VCs argued the way forward is a back-to-basics approach that focuses on the two things AI can't do: prioritizing and cultivating relationships. Whether it be finding new talent or working directly with LPs, VCs said their value lies in showcasing their worth in picking the next big winners of the AI age.

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But it's been bumpy lately.

"There's this grand bargain between the GP and LP, which is: LP gives you money and then GP gives money to founders, then ultimately you're going to return the capital back up the ladder," said [OMERS Ventures](#) senior managing partner Michael Yang, who was onstage with Coelius.

"We have not been doing that."

A universe of zombies

Low distributions have had consequences for VCs: They raised \$171 billion in 2024, a decline of more than 50% from three years ago, [according to PitchBook data](#).

"We still haven't had the reckoning from the peak of the market, from the last cycle," said Jack Selby, of [Thiel Capital](#) and [AZ-VC](#), during a separate panel. "So all the investments that were made in 2019, 2020, 2021—we have a huge universe of these unicorns that are zombies, ... and they're finally running out of cash."

Selby predicted that these companies will either successfully raise their next round (but likely at a modest valuation), experience a less-than-ideal acquisition, or shut down.

And two of those outcomes aren't good for the large multistage venture firms, whose fund math requires several outsized successes in order to generate returns for their LPs.

Enter smaller, traditional boutique firms, which sense an opportunity to trumpet their approach to both investors and startup founders. A smaller firm, focused on seed investing, for example, is fully committed to helping nascent startups, [Foundation Capital](#) general partner Joanne Chen said in response.

"I'm not saying [the multistage firms are] not good, I just don't think [seed investing is] worth their time," she said. "If you have a \$6 billion fund writing a three and a half million dollar check, that doesn't really move the meter for you, but it moves the meter for us."

Scouting ahead

VCs proving their worth isn't coming at the exclusion of AI. Rather, they're positioning themselves as helpful guides for curious LPs who don't know where to jump in.

"We're consistently getting asked by LPs what's going on in AI, and I would say in the last year and a half, we've started to become more of an events production organization," said Yang. He noted that the new AI era has necessitated a kind of relationship with VCs and LPs built on educating and keeping them in the loop.

"The key question LPs ask is 'What does this mean for me?', and they want to hear it from everyone and everyone. This is a new level of servicing that we have not historically done as a GP to our LPs."

So far, investors seem to [agree with fellow VC Marc Andreessen](#) and aren't fearing for their jobs.

"I think what we do at its core, especially the early-stage folks with the relatively smaller funds, we're like talent scouts," said Selby. "That's a kind of innate, very subjective skill to get, and I don't think AIs are going to figure that out."

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About [Kia Kokalitcheva](#)

Kia Kokalitcheva leads PitchBook's US venture capital news team and is based in San Francisco. With over a decade of experience covering Silicon Valley, startups, VCs, and the broader dealmaking world, she brings deep expertise and curiosity to the newsroom. Kia previously worked at Axios, Fortune, and VentureBeat. She holds a bachelor's degree in Political Economy from UC Berkeley, where she was a columnist for its award-winning student newspaper, The Daily Californian.



About [Jacob Robbins](#)

Reporter Jacob Robbins covers artificial intelligence and the venture capital ecosystem for PitchBook. Based in Seattle, Jacob is originally from Massachusetts and holds dual degrees in political science and cinema studies from the American University. His work has previously appeared in Air Mail and Business Insider.

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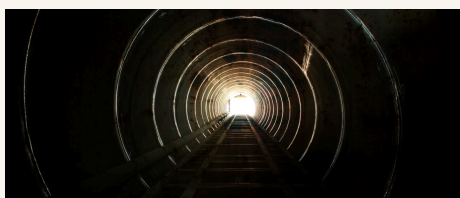


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